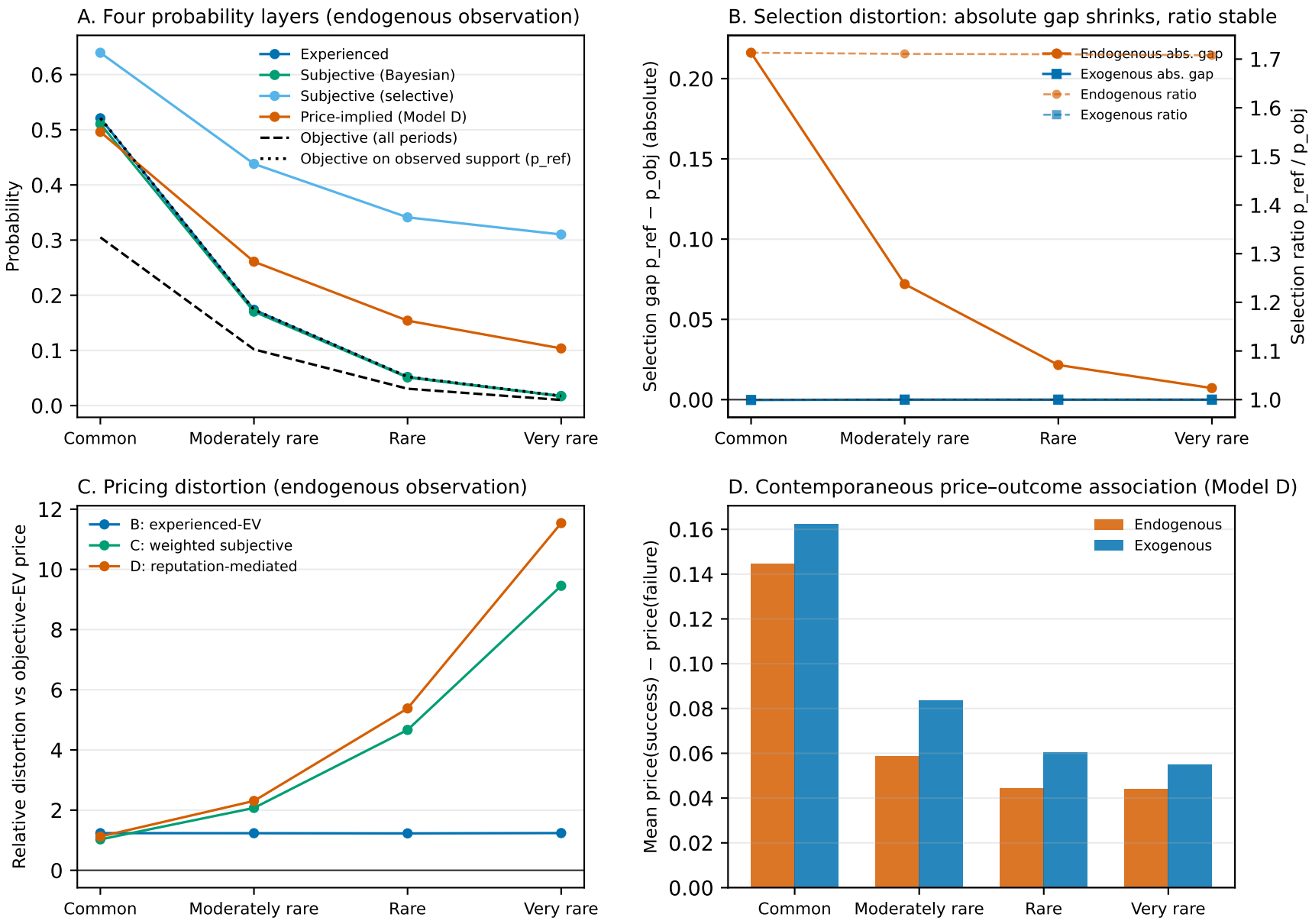
Four-layer probability separation under endogenous observation
A. Four probability layers (endogenous observation)
Probability
Experienced
Subjective (Bayesian)
Subjective (selective)
Price-implied (Model D)
Objective (all periods)
Objective on observed support (p_ref)
Common
Moderately rare
Rare
Very rare
B. Selection distortion: absolute gap shrinks, ratio stable
Selection gap p_ref − p_obj (absolute)
Selection ratio p_ref / p_obj
Endogenous abs. gap
Exogenous abs. gap
Endogenous ratio
Exogenous ratio
C. Pricing distortion (endogenous observation)
Relative distortion vs objective-EV price
B: experienced-EV
C: weighted subjective
D: reputation-mediated
D. Contemporaneous price–outcome association (Model D)
Mean price(success) − price(failure)
Endogenous
Exogenous